

Even a ban on short sales in real estate stocks by SEBI would have provided little more than temporary respite to the sector. The market had realized how hollow these companies' valuation models were, and its disenchantment with the sector was so strong that despite the massive collapse in prices, no price for realty stocks seemed too low. Juxtaposed against the better managed and fundamentally sound companies available at good prices, the real estate stocks looked all the more ugly.

Even as bulls were licking their wounds, there followed an even more brutal sell-off in October. This one was triggered by the appreciation of the Japanese yen against the dollar, and the unwinding of what is known in market parlance as the yen 'carry-trade'. In a typical carry-trade, investors borrow in a currency with the lowest interest cost, convert it into dollars and invest the funds in assets – usually risk assets like equities, commodities, currencies or high-yield bonds – that offer a handsome return after adjusting for the currency conversion costs.

In a yen carry-trade, the money is borrowed in Japanese currency. After borrowing in yen, an FII would convert the funds into dollars and then again into the local currency of the market in which it intended to invest. On the way back it would have to convert the local currency back into dollars, and the dollars back into yen to repay the original loan.

There was a cost to each of these conversions, and the overall returns would have to be well above the conversion costs through the entire round trip. This trade works well as long as the currency (yen in this case) in which the funds are borrowed remains stable or even depreciates relative to the dollar. At the same time, the assets in which the funds are invested have to keep appreciating.

But it is bad news when the yen appreciates to the dollar, because it means the investor will need more dollars to repay the original yen loan. It is worse if, in addition to this, the assets in which the funds are invested start depreciating in value. And that is precisely what began to happen from September onwards, when prices of emerging market equities, commodities and risky bonds like mortgage securities went into a free fall, triggering margin calls. The carry-trade had begun to gradually unravel towards the end of 2007, and accelerated after the events of September 2008. As investors unwound their carry-trades and began to convert dollars into yen to repay the loans, the demand for the yen rose, strengthening the Japanese currency against the dollar. This double whammy of a rising yen and falling